NOTE 12– INCOME TAXES

We did not have any provision for income taxes for the years ended December 31, 2017, 2016 and 2015.

The items accounting for differences between income taxes computed at the federal statutory rate and the provision recorded for income taxes are as follows:

	Year Ended December 31,		
	2017	2016	2015
Income taxes computed at the federal statutory rate	$ (5,241,627)	$ (2,555,151)	$ (793,904)
Effect of:			
(Income) loss taxed as partnership	(552,081)	2,555,151	793,904
State taxes, net of federal benefits	(610,495)	—	—
Change in valuation allowance	4,464,141	—	—
Change in enacted tax rates	2,119,340	—	—
Change in tax status	(205,453)	—	—
Other, net	26,175	—	—
Total	$ —	$ —	$ —

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Deferred tax assets and liabilities are as follows:

	December 31,	
	2017	2016
Deferred tax assets:		
Loss carryforwards U.S. - Federal/States	$ 13,499,628	$ —
Asset retirement obligations	3,178,064	—
Equity-based compensation	802,843	—
Total deferred tax assets	17,480,535	—
Less valuation allowance	(4,464,141)	—
Deferred tax assets, net	13,016,394	—
Deferred tax liabilities:		
Property, plant & equipment	(13,016,394)	—
Net deferred tax assets, net of valuation allowance	$ —	$ —

As of December 31, 2017, our federal and state net operating loss carryforwards for income tax purposes were approximately $52.4 million and $42.0 million, respectively. If not utilized, the federal and state net operating loss carryforwards will expire in 2037. A valuation allowance has been recorded against our deferred tax assets given our limited operating history.

Tax Cuts and Jobs Act

On December 22, 2017, the U.S. Government enacted comprehensive tax legislation referred to as the Tax Cuts and Jobs Act (the “Act”). The Act makes broad and complex changes to the U.S. tax code, including but not limited to, reducing the U.S. federal corporate rate from 35% to 21%, allowing full expensing of qualified property acquired and placed in service after September 27, 2017 and imposing new limits on the deduction of net operating losses, executive compensation and net interest expense. There was no impact of the Act on our 2017 financial statements as the revaluation of our deferred tax assets and liabilities of $2.1 million was offset by the valuation allowance.